TRADE WITH NJ

RESISTANCELIQUIDITY SWEEP& BEARISH REVERSAL



Risk-to-Reward Example & Final Checklist

Illustrative calculation only — not a live trade recommendation.

Item	Example
Entry	2,400
Stop-loss	2,410
Risk distance	10 points
Target	2,370
Reward distance	30 points
Risk : Reward	1 : 3

Before every entry

- ■ Resistance zone is clearand marked.
- ■ Visible high above resistance has been swept.
- ■ Price has returned below or into the resistance zone.
- ■ A relevant swing low has broken and a new lower low formed.
- ■ A strong bearish candle has closed.
- ■ Entry is taken only after that candle closes.
- ■ Stop-loss is at the upper boundary of resistance.
- ■ Target is set at 1:3 and position size respects the risk limit.

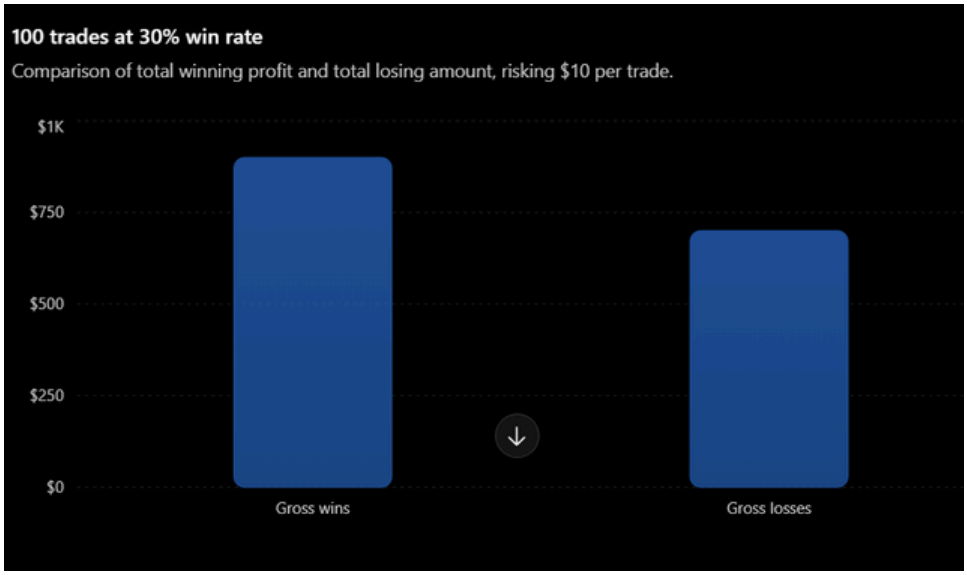
Risk management reminder

Thesetupis a rules-basedidea,not a guarantee. Backtest it on historical XAUUSD data, forward-test on demo, include spread and slippage, and stop trading if you reach your daily or account drawdown limit.

Why 1:3 Risk-to-Reward Can Be Profitable With Just a 30% Win Rate

The biggest advantage of a 1:3 Risk-to-Reward ratio is that one winning trade can cover the losses of three losing trades. This means you don't need to win most of your trades to become profitable.

- 1. The basic calculation
- Assume we risk $10 per trade with a 1:3 RR +$30 1 Win
- Profit on a winning trade
- $10 risk × 3 = $30 reward
- –$10
- 1 Loss
- Loss on a losing trade
- The planned risk is $10 per trade.
- 2. Calculation with a 30% win rate
- Let's take 100 trades.
- Result Calculation
- Total
- Winning trades
- 30 × $30 = +$900
- Losing trades
- 70 × $10 = –$700
- Net profit
- $900 – $700 = +$200
- Net result after 100 trades +$200
- 20R profit before trading costs, assuming every win reaches 3R and every loss is limited to 1R.
- 100 trades at 30% win rate
- Comparison of total winning profit and total losing amount, risking $10 per trade.
-



1:3 RR

3. Why 1:3 gives you an advantage

- You earn $30 when you win and lose $10 when you lose.
- Three losses cost $30, while one win earns $30 — those four trades break even before costs.
- At a 30% win rate, the expected result is positive under these assumptions.
- You don't need a 50% or 60% win rate to potentially make money.

4. What is the break-even win rate?

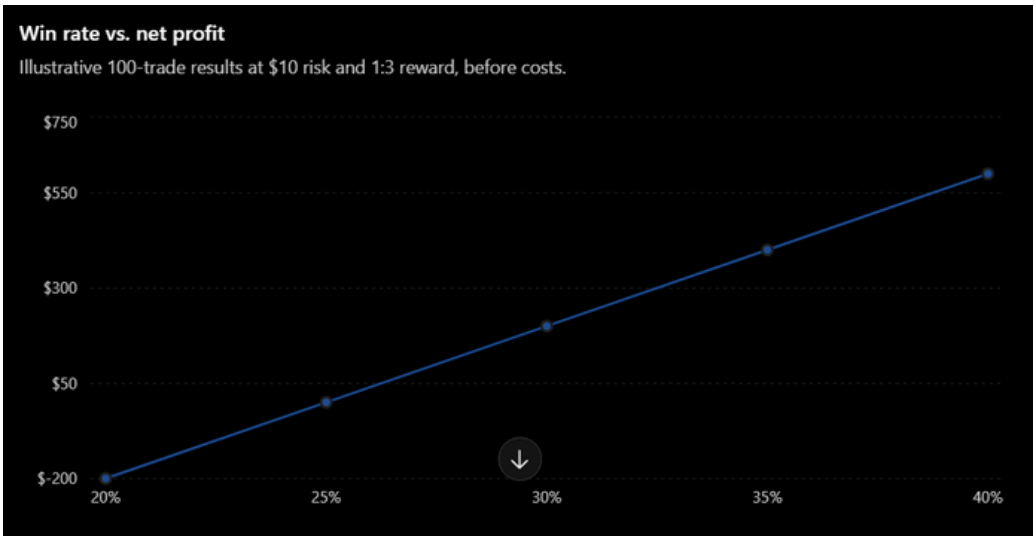
The formula is:

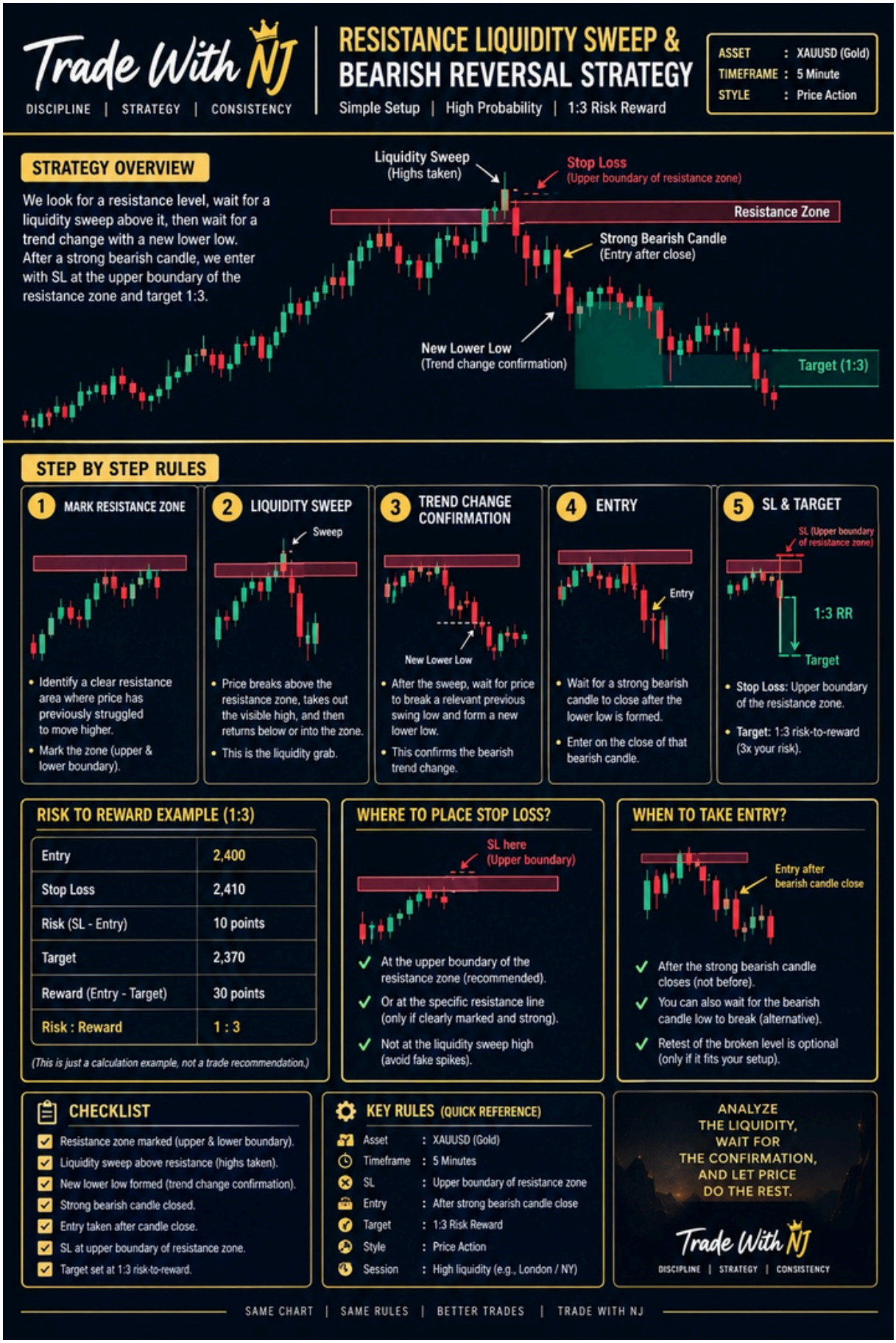
$$\text{Break-even win rate}=\frac{1}{1+RR}$$

For a 1:3 RR:

$$\frac{1}{1+3}\times100=\boxed{25\%}$$

That means your win rate must be above 25% to have a positive mathematical expectancy before spreads, commissions and slippage.





XAUUSD (Gold) • 5-minute chart • Price action • Fixed 1:3 risk-to-reward

How the Setup Works

The goal is not to sell resistanceblindly.Waitfor the liquiditysweep, thenaconfirmed bearish structure shift, and only then take the candle-close entry.

STEP	WHAT MUST HAPPEN
1 — Resistance	Mark a clear resistance zone where price previously struggled to move higher.
2 — Liquidity sweep	Price moves above the zone and takes a visible high, then returns below or into the zone
3 — Structure shift	Price breaks a relevant previous swing low and forms a new lower low.
4 — Entry	Wait for a strong bearish candle to close after confirmation; enter after the close.
5 — Risk plan	SL at the upper boundary of the resistance zone; target at 1:3 risk-to-reward.

The non-negotiable rule

Nosweep= notrade. No newlower low = no trade. No strong bearish candle close = no trade.

These filters help keep the strategy consistent, but they do not guarantee a winning trade

How This Setup Works

This strategy follows a clear, step-by-step price action process. We identify a strong resistance zone, wait for price to sweep the liquidity above it, and then look for a bearish market structure change by forming a new Lower Low. Once the structure is confirmed, we wait for a strong bearish candle to close before entering the trade. The stop-loss is placed at the upper boundary of the resistance zone, and the target is set at a fixed 1:3 Risk-to-Reward ratio.

Rules We Must Follow

1. Mark the Resistance Zone: Identify a clear resistance area where price has previously struggled to move higher.
2. Wait for the Liquidity Sweep: Price must break above resistance and take the liquidity resting above previous highs.
3. Confirm the Trend Change: Wait for price to break a relevant previous swing low and form a new Lower Low.
4. Wait for Bearish Confirmation: Look for a strong bearish candle after the structure break.
5. Take the Entry: Enter only after the strong bearish candle closes.
6. Set the Stop-Loss: Place the SL at the upper boundary of the resistance zone.
7. Set the Target: Maintain a fixed 1:3 Risk-to-Reward ratio.
8. Follow Risk Management: Never enter without confirmation, and skip the trade if the setup does not meet all the rules.

Remember: No liquidity sweep, no Lower Low, or no strong bearish candle close = NO TRADE. Follow the rules with patience, discipline, and consistency.

Chart context: this guide illustrates a short setup after a resistance liquidity sweep. The actual market can behave differently, so backtest and forward-test the rules before risking capital.

STEP 1 — MARK THE RESISTANCE ZONE

Find the area where price previously failed to continue higher.

Explanation

*lower boundary when possible, rather than treating every small wick as a separate level. The upper

*boundarymatterslater because it is the stop-loss location in this version of the strategy.

*Mark a clearresistance area based on previous price reactions. Use a zone with an upper and



Remember

• Look for repeated rejection or a clear prior swing high.

• Mark the zone before the setup develops; avoid moving it to fit the trade.

• If resistance is messy or unclear, skip the setup and wait for a cleaner chart.

Key rule: a resistance touch alone is not a sell signal.

STEP 2 — WAIT FOR THE LIQUIDITY SWEEP

Price must take the visible highs above resistance.



Explanation

Wait for price totrade above the resistance zone and take out a visible prior high. Then watch for price to return below or back into the zone. This move may trap breakout buyers, but the sweep by itself doesnot prove that price will reverse.

Remember

- Thehigh abovethe zone is the liquidity reference.
- Prefer to see price return below or into the resistance area after the sweep. • Do not enter immediately just because price has wicked above resistance.

Key rule: sweep first, then wait for structure confirmation.

STEP 3 — CONFIRM THE NEW LOWER LOW

A bearish structure break is required before entry.



Explanation

After the sweep, identify a relevant previous swing low. The setup is confirmed only when price breaks that low and forms a new lower low. This is the evidence of a potential bearish trend change used by yourrules; without it, there is no trade.

Remember

- Use a meaningful swing low, not a tiny random candle dip.
- Wait for the break to be clear; avoid guessing before the level is broken.
- If price sweeps resistance but keeps making higher highs, do not short.

Key rule: no new lower low, no trade.

STEP 4 — ENTER AFTER THE BEARISH CANDLE CLOSES

The candle must close strongly bearish after the lower-low confirmation.



Explanation

Once the bearishstructure shift is confirmed, wait for a strong bearish candle to close. The entry is taken after the close, not while the candle is still forming. This helps avoid reacting to a candle that later reverses before closing.

Remember

- Check thatthecandle closes bearish and shows clear downside momentum.
- Do not anticipate the close or enter just because the candle temporarily looks red.
- If the entry is too far from the planned stop, skip it instead of forcing the risk.

Key rule: candle close first, entry second.

STEP 5 — STOP-LOSS AT RESISTANCE UPPER BOUNDARY

Use the exact SL rule you selected for this strategy.



Explanation

Placethe stop-loss at the upper boundary of the marked resistance zone. Before entering, calculate the distance from entry to that stop. If the stop distance is too large for your allowed account risk, reduce position size appropriately or skip the trade; never widen the stop after entry to avoida loss.

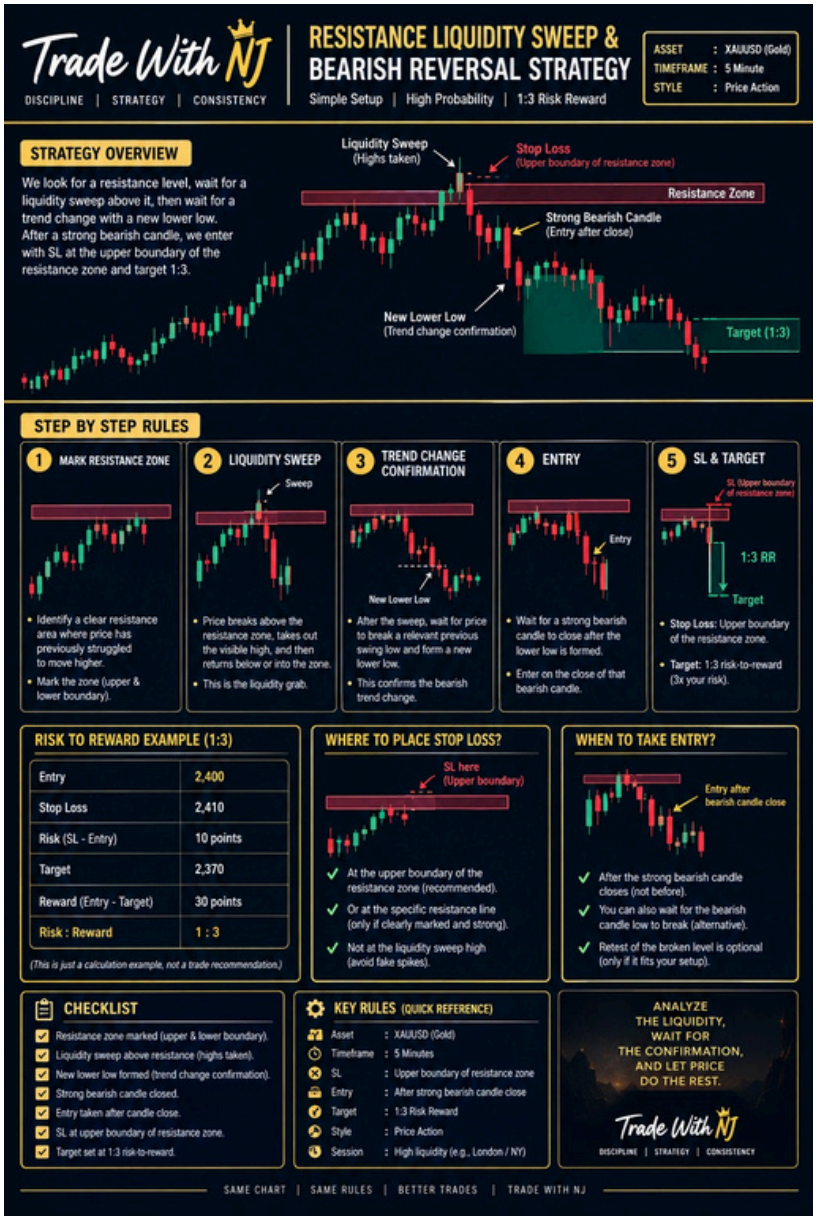
Remember

- Mark theupper boundary clearly before the trade.
- The sweep wick high is not the chosen stop location in this rule set.
- Respect your maximum risk per trade and account drawdown limits.

Key rule: SL = upper boundary of the resistance zone.

STEP 6 — SET THE TARGET AT 1:3 RISK-TO-REWARD

The planned reward is three times the entry-to-stop distance.



Explanation

For a short trade, the stop-loss is above entry and the target is below entry. Measure the risk distance first, then set the target three times that distance below the entry. Trading costs, slippage, and nearby support can affect the actual result.

Remember

- Example: risk10 points → target distance 30 points.
- Keep the target plan consistent; do not change it impulsively during the trade.
- A 1:3 setup can still lose. Risk-to-reward does not guarantee profitability.

Key rule: target distance = 3 × risk distance.